3.1.6 Market failure

Students explore the meaning of market failure and gain an understanding that the market mechanism does not always allocate resources efficiently. Students will explore the costs associated with misallocation of resources, and how government intervention can counter this.

3.1.6.1 Misallocation of resources

Content	Additional information
• The meaning of market failure as misallocation of resources • Implications of misallocation of resources • Government intervention	Students should be able to understand: • market failure as the inability of the market system to allocate resources efficiently • the costs associated with misallocation of resources • methods of government intervention to counter misallocation of resources.

3.1.6.2 Externalities

Content	Additional information
• Defining externalities • The difference between positive and negative externalities	Students should be able to understand: • externalities as the difference between social costs/benefits and private costs/benefits • the difference between positive and negative externalities and identify them • that production and consumption can lead to negative externalities.